22 October 2026

MORNING REPORT

Today's economic developments and market movements.

Key themes

Risk sentiment improved overnight amid relatively few developments on the geopolitical front, allowing attention to shift towards corporate earnings and the outlook for monetary policy.

Share markets broadly rose, with a bumper earnings report from SpaceX driving renewed strength in tech stocks, while solid earnings results from Tesla and Meta after the close look to have sustained momentum.

Australian markets took a hawkish steer from RBA Deputy Governor Hauser, with his warning that the inflation outlook looks “materially worse” than projected seeing markets materially raise the perceived odds of a follow-up November rate hike.

Oil prices continued to trend higher amid lingering Middle East risks, with some added intraday volatility around reports of US embassy personnel departures before Brent ultimately finished 0.9% higher.

Data snapshot

FX Last 24 hrs	Current	Change
TWI	64.9	0.3%
AUD/USD	0.7028	0.4%
AUD/JPY	111.16	0.4%
AUD/GBP	0.5247	0.2%
AUD/NZD	1.2324	0.0%
AUD/EUR	0.6257	0.4%
AUD/CNH	4.6907	0.3%
AUD/SGD	0.8977	0.3%
AUD/HKD	5.5152	0.3%
AUD/CAD	0.9871	0.3%
EUR/USD	1.1233	0.0%
USD/JPY	158.16	0.0%
USD Index	101.70	0.0%

AUS Interest Rate Swaps	Last	Change
30 day BBSY	4.64	0.00
90 day BBSY	4.85	0.01
180 day BBSY	5.21	0.00
1 year swap	4.95	0.07
2 year swap	4.93	0.08
3 year swap	4.91	0.06
4 year swap	4.93	0.05
5 year swap	4.96	0.05
6 year swap	5.01	0.04
7 year swap	5.06	0.04
8 year swap	5.10	0.04
9 year swap	5.15	0.03
10 year swap	5.19	0.03

Equities	Close	Change
S&P/ASX 200	8,831	0.2%
S&P 500	7,757	0.6%
Japan Nikkei	64,621	0.9%
Hang Seng	23,652	-0.9%
Euro Stoxx 50	6,208	1.4%
UK FTSE100	10,753	0.2%
VIX Index	16.68	-3.6%

Government Bond Yields	Close	Change
Australia		
3 year bond	4.91	0.06
10 year bond	5.28	0.03
United States		
3-month T Bill	4.06	-0.01
2 year bond	4.81	0.03
10 year bond	5.12	0.01
Other (10 year yields)		
Germany	3.42	0.02
Japan	2.88	-0.02
UK	5.38	-0.03

Commodities	Current	Change
CRB Index	415.19	-0.4%
Gold	4133.44	0.2%
Copper	14356	-0.4%
Oil (WTI futures)	97.74	-0.1%
Coal (coking)	266.00	-0.4%
Coal (thermal)	152.50	-0.7%
Iron Ore	90.70	-0.1%
ACCU	36.13	-4.3%

Sydney Futures Exchange	Current	Change
10 yr bond	5.29	-0.01
3 yr bond	4.92	0.00
3 mth bill rate	4.77	0.00
SPI 200	8,848	0.0%

Data as at 7:30am AEST. Change is from the previous trading day (excluding the SFE, which is the change during the night session). Source: Bloomberg.

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Financial Markets

- Share markets broadly rose, amid relatively few material developments in the geopolitical space overnight. The US extended recent gains following a bumper earnings report from SpaceX, which brought on a broader rally in tech stocks, seeing the S&P 500 (+0.6%) and NASDAQ (+1.1%) both bounce higher. After the close, a solid earnings report from Tesla and Meta, among others, looks to have sustained momentum.
- The Eurostoxx 50 also bounced back strongly (+1.4%), while London's FTSE 100 eked out a smaller gain following an upside surprise on inflation data (+0.2%). Stocks were mixed across Asia: a partial rebound in Tokyo (+0.9%) and Seoul (+3.3%) while Hong Kong (–0.9%) and Shanghai (–1.0%) both fell. The ASX 200 rose 0.2% yesterday, and futures markets are pointing to a relatively flat open this morning.
- Treasuries faced some moderate selling pressure at the short end, with the 2Y up 3bps to 4.81%, but the longer-end of the curve was broadly unchanged, the 10Y up just 1bp to 5.12% while the 30Y was down 1bp to 5.41%. Market pricing for the Fed is also little changed: rate hike for December still fully priced in, for a total of three rate hikes by mid-2027.
- Yields were a bit more mixed across the rest of the globe: the 10Y Bund up 2bps, while the 10Y JGB fell 2bps and the 10Y Gilt down 3bps. ACGBs meanwhile confronted a clear sell-off during local trading, driving the 3Y up 6bps to 4.91% and the 10Y up 3bps to 5.28%. This follows some hawkish commentary from the RBA's Deputy Governor in yesterday's fireside chat at the Citi Investment Conference. That has materially risen the odds of a follow-up November rate hike, with 12bps now priced in from just 6bps yesterday.
- The USD was mostly rangebound overnight, the DXY ultimately finishing about flat at 101.7. Moves among the underlying crosses was modest to negligible, with the Euro and Yen steady, while the Sterling and Loonie were both up 0.1%. The Aussie dollar meanwhile found a much firmer bid following yesterday's hawkish commentary from RBA Deputy Governor Hauser, up 0.4% to around the USD0.7030 mark, back to late-September levels. But with November still only about 50% priced in, there is scope for a further rally in the AUD in the period ahead, should the Q3 CPI print on the higher side and RBA commentary remain hawkish.
- Crude oil prices continued to trend higher overnight, with added intraday volatility following reports of the US State Department ordering the departure of some embassy personnel across the Gulf, which was later clarified to non-emergency US government employees in Saudi Arabia only. Brent finished 0.9% higher at US$109.7/bbl.

Today's key data and events

Time	Event	Exp	Prev
8:45	NZ CPI Q3	0.8%	1.5%
8:45	NZ CPI Q3	3.8%	4.1%
23:30	US Initial Jobless Claims 17/10/2026	200k	199k
1:00	EZ Consumer Confidence Oct Prel.	-17pts	-16.5pts
1:00	US Leading Index Sep	-0.1pts	-0.1pts
2:00	US Kansas City Fed Oct	12pts	14pts

Times are AEST. All data forecasts are m/m or q/q and seasonally adjusted unless otherwise specified. Forecasts for Australian data are our forecasts and for other countries they are consensus forecasts.

- Base metals remain fairly choppy: LME copper down 0.4% on the day but holding within recent ranges in and around the US$14,500/mt mark, while LME aluminium rallied 1.3% from its recent low around US$3,000/mt. Gold prices were relatively stable, edging just 0.2% higher to slightly above US$4,130/oz.

International Data

In the UK, September's **CPI** was a touch above expectations on a headline basis, up 0.4% (3.5%yr), the surprise largely owing to firmer services inflation, which is currently tracking 3.7%yr. Core inflation also accelerated from 2.6%yr to 2.8%yr, as expected.

Local Data

In Australia, **RBA Deputy Governor Hauser's** fireside chat was seen by the market as incorporating more hawkish messaging. He noted that "[t]he inflation outlook looks materially worse than [the RBA] projected in the August report" and on the Q3 CPI specifically, "[a]bsent a very, very big downside surprise in the last month of the quarter, the quarterly number is going to be bigger thn we assumed", considering the impact of higher oil prices and upside risks associated with AI-related demand and capacity pressures.

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